SHAPING TOMORROW DECISION INTELLIGENCE

The rules now decide what you may use, and for how long

Over this cycle, the useful question changed. Four weeks ago the question in this topic was one of quantity: how much water, how much acid, how much grain. The cycle answered a different one. Galicia banned non-essential use with its supply reservoirs at 72.74%, England restricted around 30 million people with storage at 59.8%, and the Colorado shortened entitlement to two-year blocks against a cut its own regulators call survivable. What hardened was the length and the ownership of a permission, not the size of a resource. Where we did argue scarcity, on sulphuric acid, our own evidence broke the argument. Below: five early warnings, five assumptions graded, and four actions now decision-shaped.

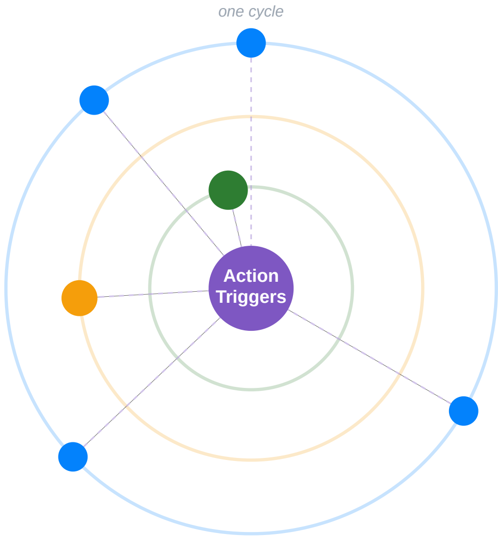
STRATEGIC PICTURE AT A GLANCE

5 Weak signals became measurable	**5** Strategic assumptions changed	**4** Actions now decision-shaped	**1** Strategic constraint replaced

DRAWING ON

- Decision Intelligence, 3 September 2026 · 'Climate policy takes things away'
- Signal Scan, 1 September 2026 · 'Billions of seeds, no standard'
- Change Tracker, 28 August 2026 · 'Water goes to two-year tenor'
- Signal Scan, 25 August 2026 · 'Water on a two-year horizon'
- Signal Scan, 17 August 2026 · 'The acid auction'
- Signal Scan, 8 August 2026 · 'Nature risk moves to the risk register'

DETECT · ASSESS · DECIDE · ACT



Four weeks of continuous monitoring, resolved into one decision-grade synthesis at the centre.

Early warnings

Signals the portfolio surfaced before consensus formed, in the order they hardened.

LEAD TIME 1 WEEK AHEAD | SIGNAL SCAN | CHANGE TRACKER | DECISION INTELLIGENCE

Water restriction arrived while the reservoirs were still three-quarters full

INITIAL SIGNAL

We read the Colorado decision documents rather than the coverage and found the change was the duration of the entitlement. The reporting was counting acre-feet.

NOW EVIDENT

The same pattern turned up in Europe within a fortnight, in systems that are not short of stored water at all.

- **Colorado**: operating guidelines for Lake Powell and Lake Mead are anticipated to cover two-year intervals unless a consensus agreement provides for longer, through 2036.
- **Galicia**: scarcity alert across 91 municipalities, with bans on street washing, filling pools and garden irrigation, at 72.74% supply-reservoir storage.
- **England**: ten areas in drought, ten companies operating temporary use bans, around 30 million people restricted, storage at 59.8% and 18.2 points below average.
- **Delaware basin**: roughly 60 data centres operating and 24 more planned, and not one water-withdrawal application from any of them, because they buy from public supply.

FIRST TWO-YEAR BLOCK **From October 2026**

OPEN QUESTION **Years three to ten, unresolved**

PREPARE Any board financing a twenty-five year asset now needs to know who holds its water permission and when that permission is next re-decided.

LEAD TIME 2 WEEKS AHEAD CHANGE TRACKER DECISION INTELLIGENCE

The 2026 harvest loss is sitting in next year's contracts while food inflation stays flat

INITIAL SIGNAL

We put European harvest losses and food-price momentum among the accelerating signals in late August, and named the transmission as feed costs and forward contracts.

NOW EVIDENT

The loss is measured and the price data still shows nothing, which is the finding rather than the reassurance it reads as.

- **Joint Research Centre**: EU yield forecasts for all summer crops cut to as much as 14% below the five-year average, with grain maize worst hit and pasture failing.
- **France**: the grain maize crop put at 9.0 million tonnes, around 35% below 2025, potentially the smallest since 1980.
- **Germany**: a cereal harvest of 37.5 million tonnes on the official first estimate, 7% below 2025, with cooperatives pricing the heat damage above 600 million euros.
- **Eurostat**: euro area food, alcohol and tobacco inflation at 1.2% in August, unchanged on July, against energy at 14.3%.

DECIDE The negotiation that decides who absorbs the loss is open for one or two quarters, and buyers waiting for the price data will negotiate late.

LEAD TIME 3 WEEKS AHEAD | SIGNAL SCAN | DECISION INTELLIGENCE

Sulphur reached a listed producer's shut plants inside three weeks of our flagging it

INITIAL SIGNAL

We identified sulphuric acid, and not nitrogen, as the input under the fertiliser story, at a point when the market and the policy response were still aimed at urea.

NOW EVIDENT

The cost has passed through the producer and reached the farm gate, and the pass-through is measurable rather than inferred.

- **Mosaic**: second-quarter sulphur costs averaging $522 a long ton, third-quarter contracts settling at $705, Faustina idled completely and Bartow running at 40% of its target rate.
- **Platts**: sulphuric acid delivered to the US Gulf assessed at $400 a tonne on 6 May against $155 on 25 February.
- **University of Illinois**: Corn Belt diammonium phosphate around $850 a ton, on a correlation with Vancouver sulphur prices of 0.70.

DECIDE Any 2027 crop or input budget that prices phosphate off nitrogen's recovery is priced off the wrong molecule.

LEAD TIME 4 WEEKS AHEAD | SIGNAL SCAN | DECISION INTELLIGENCE

Most companies lost their reporting duty and kept every duty that costs money

INITIAL SIGNAL

We flagged at the start of the cycle that the obligations surviving Europe's simplification round were consolidating into supervision and border control, where no sustainability report is involved.

NOW EVIDENT

The disclosure duty has now been narrowed in law while four charging and rationing instruments moved the other way in the same twelve months.

- **Reporting**: sustainability reporting applies only above 1,000 employees and 450 million euros of turnover, and due diligence only above 5,000 and 1.5 billion, in force since 18 March.
- **Carbon**: border certificates priced at 75.36 euros a tonne for the first quarter and 75.28 for the second, with purchase beginning in February 2027.
- **Origin**: plot-level geolocation becomes a condition of EU market access on 30 December 2026.
- **Nature**: the standard setter chose a practice statement over a standard, and the biodiversity fund it sits beside holds a single $1,000 contribution.

DECIDE The capability most organisations spent three years building is not the capability the next two years ask for, and the two sit in different departments.

LEAD TIME NOT YET CAUGHT UP SIGNAL SCAN

Europe filed its restoration plans without asking where the planting stock will come from

INITIAL SIGNAL

We read the draft National Restoration Plans as procurement documents on the day they fell due, and asked what material would actually be sown and planted.

NOW EVIDENT

The demand is legislated and dated. The supply has no certification standard behind it, and the official implementation guidance does not raise the question.

- **Demand**: restoration measures across at least 20% of EU land and sea by 2030, against a baseline in which 81% of habitats sit in poor condition.
- **Supply**: 90% of the European seed market is uncertified, and seed needs have to be planned three to four years ahead.
- **Health**: surveys of more than 2,500 nurseries and planting sites found over 120 Phytophthora species, which visual inspection and plant passports cannot detect.
- **Guidance**: the Commission's implementation material covers format, data, monitoring and finance, and is silent on the origin and health of planting material.

> MONITOR The specification is set in the 2027 to 2029 tender rounds and cannot be retrofitted once the material is in the ground.

Assumptions that have shifted

Cycle-over-cycle assumption changes, in decreasing order of strategic weight.

SHIFT 1 OF 5 REPLACED

"Why battery metals now outbid fertiliser for sulphur"

PRIOR CYCLE HELD

The prior reading was an allocation contest: sulphur is a refining by-product with no supply response to price, so the industry with the thinner acid cost share wins the bidding and fertiliser curtails first.

THIS CYCLE READS

The 2026 event is a supply shock with a policy amplifier, and the auction mechanism is absent from every piece of evidence gathered to test it.

- **Attribution**: the price reporting agency puts the surge down to Middle East disruption and China's 1 May restriction on acid exports.
- **Pass-through**: the farm-economics analysis explains the phosphate rise through sulphur cost alone and never mentions battery metals.
- **Cost share**: feedstock is now above 50% of nickel MHP production cost, which removes the asymmetry the outbidding argument depends on.
- **Demand**: four Indonesian acid-leach plants suspended in February took roughly 260,000 tonnes of monthly acid demand out, so metals demand fell while the price rose.

FORWARD THESIS

Treat the outbidding argument as a long-run risk to underwrite and not as an explanation of 2026. It came to us from a single 2022 paper and was restated rather than tested, which is the transferable lesson. **The tripwire is a phosphate producer attributing curtailment to competition from a metals buyer rather than to feedstock price.**

SHIFT 2 OF 5 OVERTURNED

"Brussels eased the domestic path while holding the border"

PRIOR CYCLE HELD

Prior thinking read the deferral of the EU's second emissions trading system to 2028 as the domestic direction of travel, with the border instruments the only place obligation was hardening.

THIS CYCLE READS

The domestic path was not eased, it was handed to national treasuries, and three jurisdictions outside the EU moved in the same period.

- **Germany**: the national fuel system moved from fixed-price sale to auctioning in a 55 to 65 euro bid corridor, first auction on 1 July 2026.
- **United Kingdom**: the auction reserve price raised from 22 to 28 pounds, with domestic maritime brought into scope from 1 July.
- **Canada**: a published trajectory running to 130 Canadian dollars a tonne by 2035.
- **China**: allowance allocation consultation opened for steel, cement and aluminium smelting for the 2026 compliance year.

FORWARD THESIS

A deferral at one level of government is not a deferral of the cost, and a company reading the ETS2 slip as relief has misread which government is charging it. **The tripwire is the third-quarter border certificate price, due 5 October, and whether certificate purchase opens on schedule in February 2027.**

SHIFT 3 OF 5 SPLIT

"The binding change is the tenor of entitlement rather than the size of the cut"

PRIOR CYCLE HELD

The prior reading generalised from one basin: where water is formally allocated, the risk to a long-lived asset is the shortening duration of the right behind it.

THIS CYCLE READS

True where allocation is administered, and incomplete everywhere else. In Europe there is no tenor to shorten and restriction arrived anyway, by discretion, at storage levels that would not have triggered it before. Galicia imposed bans at 72.74% and England restricted around 30 million people at 59.8%. The exposure is the same for the asset owner and the mechanism is different, so the question to ask at each site is not how long the right runs but who can shorten it and on what evidence.

FORWARD THESIS

Carry two mechanisms into the next cycle, administered tenor and discretionary restriction, and test each site against whichever applies. **The tripwire is a second stressed basin adopting a short-interval operating rule, or a European authority restricting use for a second consecutive summer in the same system.**

SHIFT 4 OF 5 WEAKENED

"Food price momentum rebuilds"

PRIOR CYCLE HELD

The momentum register graded food prices as accelerating on the strength of a 5.8% monthly move in wheat and a European harvest visibly failing.

THIS CYCLE READS

The momentum is real in cereals and absent at the till. The world index is only 1.0% above its year-earlier level, July's wheat move was attributed to Black Sea export disruption rather than to European yields, and euro area food inflation was flat at 1.2% in August. The grade survives as a contract-cost signal and fails as a consumer-price signal.

FORWARD THESIS

Grade this as a 2027 input and contract question and stop reading the consumer print for confirmation, because the consumer print is the last place it will show. **The tripwire is the full August consumer price release and the September flash: a food rate above 2% moves this back to accelerating.**

SHIFT 5 OF 5 HOLDING

"Nature risk moves from the sustainability report to the risk register"

PRIOR CYCLE HELD

The opening read of the cycle was that Europe's simplification round was a retreat in disclosure only, and that the surviving duties were consolidating into supervision and border control.

THIS CYCLE READS

The proposition survived a direct test, and the market still assumes the opposite. Reporting was narrowed in law, the disclosure standard setter chose a voluntary practice statement, and biodiversity finance has attracted a single $1,000 contribution, while the 30 December origin duty held through a hostile simplification round and the supervisor's own view is that nature methods are in their infancy and very likely understate the risk.

FORWARD THESIS

Keep nature exposure out of the reporting budget and inside risk, procurement and customs, where the duties that bite actually land. **The tripwire is the October exposure draft converting into a mandatory standard, or a supervisor setting a dated nature-risk expectation with consequences attached.**

Actions triggered

Each trigger names why it activates now, why it matters, the recommended actions, the primary decision owner, the decision window, and the conditions under which the recommendation should be reviewed.

DECIDE ACTION 1 SIGNAL SCAN DECISION INTELLIGENCE

Determine, product by product, whether the 30 December origin rule reaches you

TRIGGER CONDITION

This recommendation has been activated because the July delegated act changed the covered list in both directions without moving the application date, because the duty follows the commodity into derived goods so furniture, chocolate, paper and tyres sit inside it while the companies selling them may not think of themselves as agricultural, and because the relief granted to downstream operators has been widely read across the trade as relief at the deadline itself.

PRIMARY DECISION OWNER **Procurement lead, with legal**

DECISION WINDOW IMMEDIATE **31 October 2026**

WHY THIS NOW MATTERS

The scoping is an afternoon of work and the remediation is not. A supplier who has never been asked for the coordinates of a field needs months, and the date is seventeen weeks away.

RECOMMENDED ACTIONS

- **Immediate:** run every product line against the current covered list, including the July additions and removals, and record an in-scope or out-of-scope determination for each.
- **Immediate:** name the three suppliers least able to provide plot-level geolocation, and ask them now rather than in November.
- **Follow-on:** for in-scope lines, settle the data format and who lodges the declaration before the December load on the EU information system.

REVIEW CONDITIONS

This recommendation should be reviewed if a national competent authority publishes enforcement guidance naming a sector you sell into, if the determination returns fully out of scope against the current list, or if the Commission tables a proposal to move the 30 December date.

DECIDE ACTION 2 SIGNAL SCAN CHANGE TRACKER DECISION INTELLIGENCE

Reprice 2027 input and contract assumptions against a loss that is already banked

TRIGGER CONDITION

This recommendation has been activated because EU summer crop forecasts were cut to as much as 14% below the five-year average with French maize down around 35%, because third-quarter sulphur contracts settled at $705 a long ton and a listed producer idled a plant outright, and because euro area food inflation held at 1.2% in August, so nothing in the price data yet tells a buyer what the crop and input data already say.

PRIMARY DECISION OWNER **Finance director, with procurement**

DECISION WINDOW NEXT QUARTER **Next budget round**

WHY THIS NOW MATTERS

Both bills are committed and neither has been allocated. The window in which a buyer can still negotiate over who carries them closes as 2027 contracts are signed through the autumn.

RECOMMENDED ACTIONS

- **Immediate:** separate phosphate from nitrogen in the 2027 input assumption and price it against sulphur rather than against urea's recovery.
- **Immediate:** list the contracts whose assumptions predate July and reopen the ones that still can be reopened.
- **Follow-on:** for livestock, dairy and processing exposure, model the fodder and feed lag rather than the cereal price, because pasture failure carries a longer tail than grain.

REVIEW CONDITIONS

This recommendation should be reviewed if third-quarter sulphur contracts settle materially below $500 a long ton, if the September short-term outlook revises the EU cereal number upward, or if the full August consumer price release shows the pass-through already under way.

PREPARE ACTION 3 SIGNAL SCAN CHANGE TRACKER DECISION INTELLIGENCE

Put water entitlement tenor into the capital approval template

TRIGGER CONDITION

This recommendation has been activated because operating guidelines in the Colorado basin are anticipated to run in two-year intervals through 2036, because restriction has decoupled from storage in Galicia at 72.74% and in England at 59.8%, and because one basin regulator reports roughly 60 data centres operating and 24 more planned while having received no withdrawal application from any of them, so the fastest-growing load is invisible to the body that allocates.

PRIMARY DECISION OWNER **Chief operating officer, with treasury**

DECISION WINDOW NEXT QUARTER **31 December 2026**

WHY THIS NOW MATTERS

Capital committees test power, land and permits, and record water as available or unavailable. A permission re-decided every two years behind a twenty-five year asset is a financing term and belongs on the approval paper.

RECOMMENDED ACTIONS

- **Immediate:** add entitlement holder, tenor and next re-determination date to the approval template, and apply it back to sites already approved for 2027 construction.
- **Next quarter:** for each site, name who would learn of a re-determination or a restriction, and whether they would learn of it before or after it took effect.
- **Follow-on:** test whether lending and collateral assumptions on water-dependent land and plant survive a two-year tenor, and raise it with lenders before they raise it with you.

REVIEW CONDITIONS

This recommendation should be reviewed if a lender shortens tenor or raises haircuts on allocation-dependent assets, if a second stressed basin adopts a short-interval rule, or if the years three to ten negotiation produces a consensus agreement of longer duration.

MONITOR ACTION 4 SIGNAL SCAN

Watch whether restoration tenders specify where the planting stock came from

TRIGGER CONDITION

This recommendation has been activated because Member States filed draft restoration plans on 1 September against a target covering at least 20% of EU land and sea by 2030, because 90% of the European seed market is uncertified and surveys of more than 2,500 nurseries and planting sites found over 120 Phytophthora species, and because the official implementation guidance covers format, data, monitoring and finance while saying nothing about the origin or health of the material that will be planted.

PRIMARY DECISION OWNER **Strategy, with forestry, horticulture and nature-credit exposure**

DECISION WINDOW MONITOR ONLY **Final plans during 2027**

WHY THIS NOW MATTERS

The failure is slow, correlated across every site a single nursery supplied, and invisible in first-year monitoring. It expresses in the 2030s and is bought in the tender rounds that run from 2027.

RECOMMENDED ACTIONS

- **Immediate:** anyone underwriting nature credits, offsets or restoration-linked lending should ask what plant material the underlying hectares were established with.
- **Immediate:** commercial growers should establish which nurseries are likely to win restoration tenders near their own estates.
- **Follow-on:** Reinstate this as Prepare if a Member State's final plan carries origin or nursery accreditation as a procurement condition, or if a national forestry authority traces an outbreak to restoration stock.

REVIEW CONDITIONS

This recommendation should be reviewed if an EU code of conduct or nursery accreditation scheme moves to formal proposal, if restoration volumes fall far enough that certified supply covers the demand, or if plant health rules are revised to catch latent infection.

The body of work, in one sentence

Over this cycle, the constraint changed from how much to how long and on whose authority. The question four weeks ago was whether physical scarcity in water, acid and grain would set the limit; the evidence says the limits now arriving are administered ones, carrying dates, tenors and named owners, and they arrive whether or not the physical position is tight. The load-bearing variable for the next two quarters is not supply. It is which function holds a permission that is re-decided faster than the asset sitting behind it.

This briefing is not another report. It is the synthesis produced after continuously monitoring signals, tracking change, testing assumptions and updating scenarios throughout the cycle on **Climate, Nature and Food Systems**. Its purpose is to identify the points at which accumulated evidence has become decision-changing: the early warnings the work caught before consensus formed, the assumptions that have shifted between cycles, and the actions now decision-shaped enough to act on. Continuous intelligence on this topic is available as a Single-Topic or Multi-Topic programme.

Discuss a Tailored Programme

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